### Tutorial note

For finding out the closing capital, Statement of affairs as on 31st March, 2018 is prepared.

**Statement of profit or loss for the year ending 31st March, 2018**

| Particulars | ₹ |
|---|---|
| Closing capital as on 31.03.2018 | 88,000 |
| Add: Drawings during the year | 15,000 |
| | 1,03,000 |
| Less: Additional capital introduced during the year | 20,000 |
| Adjusted closing capital | 83,000 |
| Less: Opening capital as on 01.04.2017 | 75,000 |
| Profit made during the year ending 31.03.2018 | 8,000 |

## Illustration 8

David does not keep proper books of accounts. Following details are given from his records.

| Particulars | 1.4.2018 ₹ | 31.3.2019 ₹ |
|---|---|---|
| Cash | 43,000 | 29,000 |
| Stock of goods | 1,20,000 | 1,30,000 |
| Sundry debtors | 84,000 | 1,10,000 |
| Sundry creditors | 1,05,000 | 1,02,000 |
| Loan | 25,000 | 20,000 |
| Business premises | 2,50,000 | 2,50,000 |
| Furniture | 33,000 | 45,000 |

During the year he introduced further capital of ₹ 45,000 and withdrew ₹ 2,500 per month from the business for his personal use. Prepare statement of profit or loss with the above information.

### Solution

**In the books of David**

**Calculation of opening capital**

**Statement of affairs as on 1st April, 2018**

| Liabilities | ₹ | Assets | ₹ |
|---|---|---|---|
| Sundry creditors | 1,05,000 | Cash | 43,000 |
| Loan | 25,000 | Stock of goods | 1,20,000 |
| Capital (balancing figure) | **4,00,000** | Sundry debtors | 84,000 |
| | | Business premises | 2,50,000 |
| | | Furniture | 33,000 |
| | 5,30,000 | | 5,30,000 |



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